



Notes Forming Part of Consolidated Financial Statements

NOTE 56.

- (a) On 21st November 2025, the Government of India notified the four Labour Codes (consolidating 29 existing labour laws, collectively referred to as the "New Labour Codes"). The Company has assessed and disclosed the incremental impact of these changes, taking into consideration the best information available along with the FAQs released by the Ministry of Labour & Employment and the Institute of Chartered Accountants of India. The Company has restructured the compensation of its employees with effect from 1st April, 2026 and assessed the impact of the changes consistent with the Labour Codes, draft rules, and FAQs. Consequently, the Company has recognized ₹ 56.08 Crore towards additional employee benefit obligations during the year ended 31st March, 2026 under "Employee Benefits Expenses". The Company continues to monitor the finalisation of Central and State Rules and related clarifications, and will provide appropriate accounting effects as needed based on such developments.
- (b) During the year ended 31st March, 2025, employee cost and other expenses includes ₹ 23.22 Crore and ₹ 7.44 Crore on account of voluntary separation scheme of employees and contract workers respectively.

NOTE 57. OTHER REGULATORY DISCLOSURE

- (a) The Company do not have any charges or satisfaction which is yet to be registered with Registrar of Companies (ROC) beyond the statutory period.
- (b) The Company does not have any Benami Property. No proceeding is initiated/ pending against the company under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder.
- (c) The Company has not traded or invested in any Crypto currency or Virtual Currency during the current and previous financial year.
- (d) The Company is in compliance with the number of layers prescribed under clause (87) of section 2 of the Companies Act read with the Companies (Restriction on number of Layers) Rules, 2017.
- (e) The Company has not been declared a wilful defaulter by any bank or financial institution or other lender (as defined under the Companies Act, 2013) or consortium thereof, in accordance with the guidelines on wilful defaulters issued by the Reserve Bank of India.
- (f) The Company does not have transaction that is not recorded in the books of accounts and that has been surrendered or disclosed as income during the current and previous financial year in the tax assessments under the Income Tax Act, 1961 or any other relevant provisions of the Income Tax Act, 1961.
- (g) (i) The Company has not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:
- a. directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (Ultimate Beneficiaries) or
 - b. provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.
- (ii) The Company has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:
- a. directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
 - b. provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (h) As on 31st March, 2026 there is no unutilised amounts in respect of any issue of securities and long term borrowings, from banks and financial institutions. The borrowed funds have been utilised for the specific purpose for which the funds were raised.

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NOTE 58. Statement containing salient features of the financial statement of subsidiaries or associate companies or joint ventures (Form AOC-1-Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014)

Part A- Subsidiaries

Sr. No	Name of the Subsidiary Company	Reporting Currency	Share Capital	Reserves & Surplus	Total Assets	Total Liabilities	Investments	Turnover	Profit/ (Loss) Before Tax	Provision for Tax	Profit/ (Loss) After tax	Proposed Dividend	% of share holding
1	Shree Global FZE	AED	3,852.00	193.98	4,049.51	3.53	3,964.65	-	46.63	1.95	44.68	-	100%
2	Shree Enterprises Management Ltd.	AED	24.61	(1.62)	24.87	1.88	24.61	-	(0.31)	-	(0.31)	-	100%
3	Shree International Holding Ltd	AED	47.33	2,868.56	2,915.99	0.10	2,885.72	-	25.35	(0.36)	25.71	-	100%
4	Union Cement Company PrJSC	AED	1,725.40	1,107.72	3,289.42	456.30	88.62	2,107.72	403.90	54.67	349.23	-	98.4444%
5	Raipur Handling and Infrastructure Private Limited	INR	4.30	193.94	202.35	4.11	144.34	40.53	70.13	16.65	53.48	-	100%
6	Shree Cement East Private Limited	INR	1,594.84	(584.55)	1,620.11	609.82	115.27	862.99	(392.80)	(69.46)	(323.34)	-	100%
7	Shree Cement South Private Limited	INR	42.91	(22.49)	20.49	0.07	2.24	1.23	(4.45)	0.23	(4.68)	-	100%
8	Shree Cement East Bengal Foundation (Refer Note 10.3)	INR	-	-	-	-	-	-	-	-	-	-	-

Note:

The company incorporated Shree Cement (Mauritius) Limited in Mauritius on 18th March, 2026. Shree Cement (Mauritius) Limited had not commenced its operations and further no capital contribution or transactions were undertaken during the year ended 31st March, 2026

Note - For converting the figures given in foreign currency appearing in the accounts of the subsidiary company into equivalent ₹, following exchange rates are used:

Currency	Balance Sheet (Closing rate)
Arab Emirates Dirham (AED)- Indian Rupee	25.7738

Part B- Associates and Joint Ventures

The company incorporated Suratgarh Ash Handling LLP on 18th Feb, 2026. Suratgarh Ash Handling LLP had not commenced its operations and further no capital contribution or transactions were undertaken during the year ended 31st March, 2026